

THE BITE FORECAST

Board of INDIA TODAY
Economists' take
on the impact of
the crisis on India



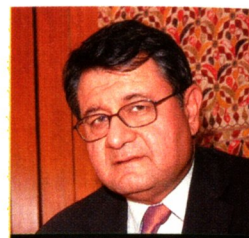
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HOW WILL THE MELTDOWN IMPACT INDIA?

Only moderately. Since India's financial system is robust, inflation will fall with global commodity prices. Dependence on external demand is limited, and the infrastructure cycle should sustain growth.

The impact will be more on the financial sector than the real sector. At least 0.5% GDP growth will be shaved off. The pull-out of institutional investments should lead to some pressure on the rupee. There will be negative perception that market-based reforms are bad.

India cannot be insulated but direct impact is small. There will be sizeable indirect impact on trade and balance of payments, capital flows and demand for domestic credit. This will affect the credit markets and sentiments in stock market. GDP growth will also be lower.

It affects the economy both positively and negatively. The most positive benefit is the sharp reduction in the price of oil. Some slight benefit might also result from a weaker rupee. The largest negative influence will come from slower global demand and a weak stock market.

WHICH THREE SECTORS WILL BE HIT THE HARDEST?

Sectors that had dealings with troubled financial institutions, firms depending on international credit, and exporters.

Information technology, infrastructure, real estate/housing.

The global demand for goods and services will decline which will affect exports. Consumer goods may be hit due to liquidity constraints.

Real estate, international reoriented travel and tourism (hotels etc) and financial services.

HAS THE GOVERNMENT BEEN PROACTIVE?

Policy reaction is slow. Despite slowdown and plateauing of inflation, a liquidity squeeze was allowed to develop triggering panic.

High interest rates should have been reduced earlier. Extra liquidity must reflect in bank credit and capital market flows.

RBI's cautious approach on new complex financial products has helped. Government has rightly identified liquidity as the issue.

Response is best characterised as prompt reaction to global development. Willingness to use resources is a good move.

STEPS YOU WOULD ADVISE THE GOVERNMENT.

Boost domestic demand; improve productivity and prevent rupee depreciation. Selling dollars reduces liquidity but reversing earlier sterilisation measures can counter this.

Liberalise ECB window more; lower CRR/SLR/repo rates further; delink public debt management immediately from the Reserve Bank of India.

Focus more on growth by improving public and private investment; continue to take measures for improving liquidity; enhance investor confidence to ensure growth of industry.

Cut CRR further to get call rate into LAF corridor which will help boost credit and lower lending rates; use rupee depreciation to cut customs duties; honour bond obligations to fertiliser, oil PSUs.

WHERE WILL THE RUPEE BE BY APRIL 2009*?

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GDP FORECAST

2008-09 7%
2009-10 8%

2008-09 7%
2009-10 7.5%

2008-09 7-7.5%
2009-10 7%

2008-09 7.6%
2009-10 8.5%**